



Strategy Trade

Rates - Asia ex-Japan

Hong Kong rates: Enter receive 5y fwd 5y IRS position

A potentially flatter US curve, still subdued loan growth and more stable fiscal reserves.

Trade: Receive 5y5y HK IRS (current level 3.83%), targeting a move to 3.55%, with a conviction level of 3/5.

Rationale

- Potential US curve flattening and HK-US spread no longer too wide.** Over the past week, the market's focus has been the renewed rise in oil prices and the correction in some technology stocks. We believe if concerns over the correction in equity prices persist, long-end US rates (such as the 5y5y point) may still go lower even if the Fed turns more hawkish on renewed oil price rises. In our view, this would feed through to HK rates, where the long end (10y) HK-US spread is now back at above -50bp from as low as -85bp (Figure 1).
- HKD loan growth remains subdued despite the rebound in property prices.** In our view, another reason for receiving long-end HK rates is the lack of a rebound in HKD loan growth, with the HKD loan-to-deposit ratio falling further to 71.0% in May (from 73.2% six months earlier), despite mortgage loan growth increasing to 3.3% y-o-y from 1.0% y-o-y over the same period.
- Fiscal reserves have stabilized, while non-financial HK bond issuance has slowed.** While we remain cautious on Hong Kong's fiscal situation over medium term, because projects such as Northern Metropolis could require a significant amount of investment over more than five years, stabilizing property prices and Hong Kong's macro outlook could provide a cushion for the fiscal balance, which has swung back to positive y-o-y for the first time since 2022 (Figure 2). We also note non-financial bond issuance by major HK corporates and quasi-government entities such as MTR, HK Airport Authority or Sun Hung Kai Properties have slowed after picking up in April. In contrast, issuance of long-dated HKD bonds by financial companies has remained strong. If these receipts are swapped, they could put downward pressure on HKD CCS and indirectly the IRS curve.

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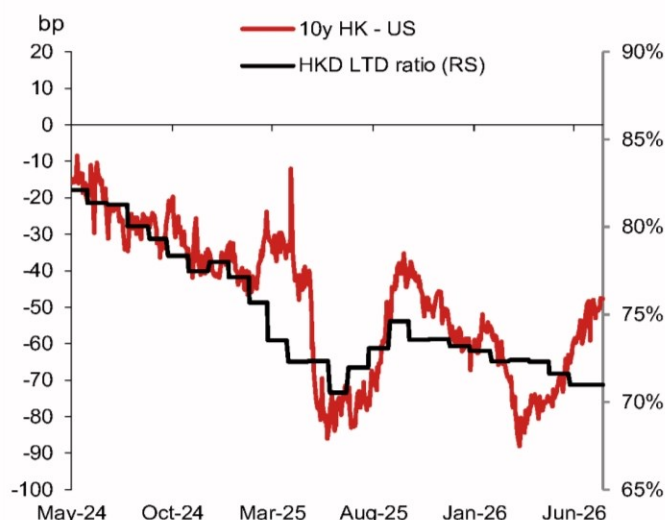
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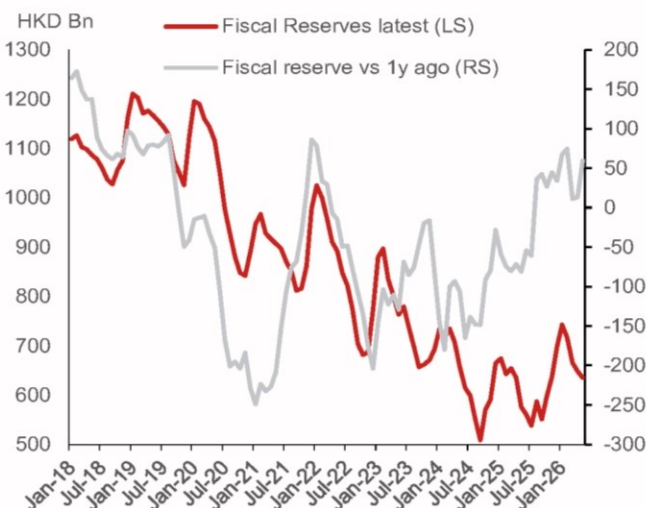
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Fig. 1: 10y HK-US IRS spread and LTD



Source: Bloomberg, Nomura

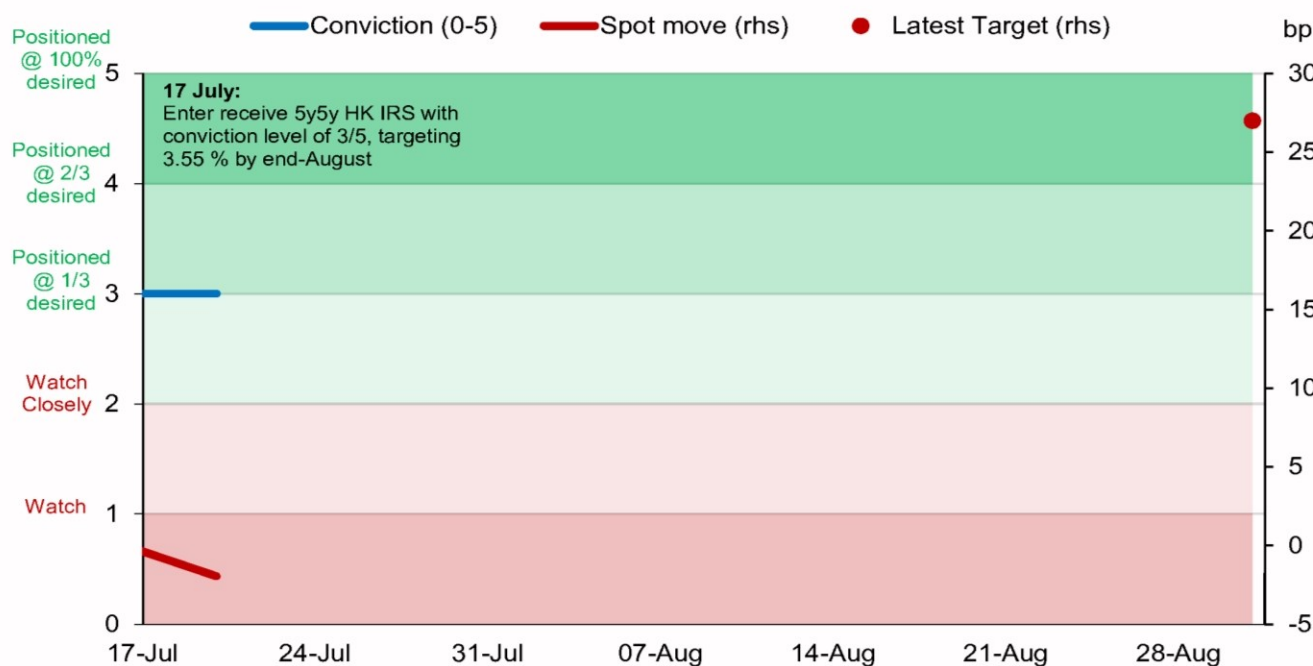
Fig. 2: Fiscal reserves and level vs one year earlier



Source: CEIC, Nomura

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Fig. 3: Receive 5y5y HK IRS (conviction level 3/5, targeting 3.55% by end-August)



Source: Nomura

Fig. 4: List of current strategy trades

Trade	Target	Timeline	Conviction (0-5)	Entry Date
Receive 5y5y HK IRS	3.55%	end-Aug	3	17-Jul-26
Long EUR/KRW	1,760	end-Oct	3	17-Jul-26
Short USD/CNH	6.55	end-Oct	3	16-Jul-26
Sep-5s10s THB flattener	30bp	end-Aug	3	14-Jul-26
Dec-1s4s Korea NDIRS steepener	25bp	end-Aug	3	9-Jul-26
Long EUR/INR	113.0	end-Sep	3	3-Jul-26
Short USD/THB	32.0	end-Sep	3	3-Jul-26
Pay AU3m1y vs US3m1y	35bp move	end-Sep	3	3-Jul-26
Short GBP/NZD	2.25	end-Sep	4	26-Jun-26
Receive Sep-5y Korea vs. Taiwan	150bp	end-Aug	3	26-Jun-26
Short CAD/JPY	-	-	2	24-Jun-26
Long CNH vs 6FX abridged basket	-	-	2	24-Jun-26
Short AUD/NZD	-	-	2	27-May-26
Short USD/TWD	-	-	2	25-May-26
Long EUR/PHP	-	-	2	25-May-26
Long 12m USD/HKD	7.8	12-May-27	3	8-May-26
Long EUR/SEK	-	-	2	17-Apr-26
Pay Sep-3y China NDIRS	1.60%	end-Aug	3	14-Apr-26
Long 9m USD/HKD	7.8	27-Oct-26	3	23-Jan-26
Long SGD/IDR	-	-	2	9-Jan-26
Long EUR/GBP	-	-	2	9-Jan-26

Source: Nomura

Please see [Strategy portfolio update \(9 July 2026\)](#) for our full portfolio.

Appendix A-1

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